

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

Cut-off errors may arise because Fortune records the direct labour wages on cash basis instead of accrual basis.

Based on the accounting of Fortune, the direct labour wages for the last few days from 26 to 31 December 2019 are incorrectly recorded in the next year's financial statements. This causes an understatement of direct labour wages in 2019.

With the same logic, the direct labour wages incurred in last year for the period from 26 to 31 December 2018 was included in the 2019 financial statements, which causes an overstatement of direct labour wages in 2019.

Particularly, in December 2019, Fortune has commenced a new service contract doubling its sales, a corresponding significant increase in its direct labour wages is expected for the period from 26 to 31 December 2019.

Accordingly, the net impact from the over and understatement of direct labour wages at the beginning and end of the fiscal year 2019 may be significant.

Further, direct labour wages are the largest component of Fortune's overall staff costs, and thus the cut-off errors may possibly cause material misstatements of Fortune's annual financial statements.

For salaries paid to the management and administrative employees, as fixed monthly salaries are paid, the timing of payment may not cause material misstatement in general. Exceptions only happen when adjustments to their salaries which are subsequently made to the ledger but are not reflected in the annual financial statements. These may not frequently happen.

For discretionary bonus and retirement benefits, as the related accrual was made upon the year end date, no significant cut-off errors are expected.

Answer 1(b)

The audit team can perform the following procedures on direct labour wages to quantify the cut-off errors:

- calculate the amount of overstated wages for the period from 26 to 31 December 2018, which were recorded in January 2019, but should have been accounted for in the previous year;
- calculate the amount of understated wages for the period from 26 to 31 December 2019, which were recorded in January 2020, but should have been accounted for in the current year;

- assess the net impact of the overstatements and understatements, and conclude if they are material to the financial statements; and
- perform analytical review procedures to compare the year to year corrected direct wages to ensure the quantified amount of errors are reasonable.

Answer 2(a)

Areas of irregularities or significant fluctuations include:

- the yearly growth of sales is 25% but the total staff costs increased by 21%;
- direct labour wages are expected to have a direct correlation with the sales; however, it increased by 40% when compared to annual sales growth of 25%;
- discretionary bonus increased by 5%, but the profit increased by 62%, which appeared to be not in proportion to the profitability of Fortune;
- retirement benefits increased by 8%, which appeared to be not in proportion with the salaries payable to the full-time employees;
- the management compensation decreased by 6%, but profit before tax increased by 62%;
- while all the staff costs components increased in the current year, the management compensation decreased by 6% during the current year;
- given the new service contract was in place, the direct labour wages in December 2019 did not double as expected when compared to the direct labour wages in the previous month;
- the working days per worker in January, February and December 2019 indicate 34 days, 34 days and 41 days, respectively, which exceed the maximum number of days in those months: 31 days, 28 days and 31 days, respectively;
- the monthly wages per worker in January, July and December 2019 are exceptionally high, which exceeded the average monthly wages per worker significantly;
- the monthly wages per worker in February, April, May, June 2019 are relatively low when comparing to the average monthly wages per worker; and
- the number of workers employed in January to March 2019 is generally low when comparing to other months. The number of workers employed in December 2019 is exceptionally low, though it is expected to have more workers to be employed due to the new contract.

Answer 2(b)

The audit team can perform the following procedures to investigate the irregularities or significant fluctuations being identified:

- perform profitability analysis to evaluate if the increase in staff costs are reasonable. If possible, compare the profit margin to its peers within the same industry;
- inspect a few significant contracts and get a sense of the general pricing of the contracts in the current year. Conclude whether there is any rise of profitability to support the increase in revenue without the same magnitude of increase in staff costs;
- obtain the project budgets and compare it to the actual gross margin of these projects, identify if there are significant variance on the direct costs incurred;
- compare the actual working days to that of the budget, and evaluate if the number of working days spent in the current year is reasonable;
- obtain the job order register for the months where irregularities are identified and check to the payroll records, recalculate the wages to ascertain if the calculation is correct;
- enquire the management if there is a general understanding of material fluctuation of wage rates, recruitment of workers, and the working hours throughout the year;
- review the job order register for direct labour wages paid for the exceptional months in January, July and December 2019;
- enquire the project supervisor to understand why the significant fluctuation of the recruitment of workers in January, February, March and December 2019;
- enquire the project supervisor to understand why the number of working days exceed that total number of days in January, February and December 2019;
- enquire account clerk to understand why the monthly wages per worker in January, July and December are exceptionally high and why the ones in February, April, May and June 2019 are relatively low;
- obtain the details of the management compensation to understand why it has decreased during the year while Fortune is experiencing expansion;
- obtain the details of retirement benefits and its scheme to understand if the retirement benefit is calculated based upon the basic salaries, and if there is a direct correlation, to understand why the increase in this item is not in proportion to other cost components;
- obtain the management minutes for the discussion of the bonus determination and enquire the management how the bonus was determined; and
- calculate the ratio of discretionary bonus over Fortune's profitability and compare that ratio to that of last year to see if it is reasonable.

Answer 3(a)

The internal controls weaknesses included:

- lack of segregation of duties as the account clerk is the same person who calculates the workers' wages, processes the withdrawal of cash and prepares bank reconciliation. It is easy for the account clerk to falsify the accounting records without letting other personnel know;
- lack of supervision in the payment processes which increases the chances of funds misappropriation by the account clerk;
- payments by cash that come from an internal source provides greater opportunity for the account clerk to falsify the job order register;
- lack of control for reconciling the physical head count or workers' list, which allows the account clerk to create fake employees;
- cash does not provide a trail, and therefore is not traceable if incorrect payments are made;
- lack of the management's supervision and review on the oversight of the financial reporting process; and
- cash payments made to part-time workers who do not have any records retained by Fortune, the account clerk can easily manipulate funds by creating the fake workers to misappropriate funds.

Answer 3(b)

Fortune can implement the following internal controls:

- for payments made by cash, the person who processes the payments and the person who records the accounting entries should not be done by the same account clerk;
- assign another staff who can monitor the work (e.g. review the bank reconciliation) performed by the account clerk;
- assign another staff who calculates the wages. Compare the monthly wages to that of the total payments made by the account clerk;
- the management sets limits for the cash payments for each worker;
- assign another staff who monitors the whole payment process. If possible, obtain written acknowledgement from workers when wages are paid during the month;
- assign another staff who reconciles these written acknowledgements (if any) to the monthly payment records in the ledger;

- assign another staff who reconciles the ledger balance to the wages calculation;
- the management performs analytical review on the monthly salaries payments and changes of other staff cost items;
- the management regularly checks the workers' list to ensure the staff exists;
- if possible, stop paying wages to workers by cash and change the payment by using bank transfer because bank transactions can be traced and a worker identity must exist before any bank transfer can be processed; and
- set a limit authority on any bank transactions.

Answer 3(c)

The audit team can change its audit strategies by:

- designate fraud risk on payroll and cash and bank balances and indicate risk of material misstatements on these two accounts;
- use substantive testing instead of the control reliance approach to test the accuracy of these two accounts;
- lower the testing thresholds for these two significant accounts when performing substantive testing;
- test the reasonableness of other staff cost items to ensure there are no other material misstatements;
- perform a review for any unrecorded liabilities, as there might be further funds being misappropriated by understating liabilities being recorded in the ledger;
- review subsequent year end transactions handled by the account clerk to identify if further misappropriation of funds exists;
- review the measures implemented by the management to ensure internal controls have been restored after discovering this incidence; and
- inspect the employees records to confirm the existence of the employees and ensure that proper staff costs are recorded.

Answer 4

According to HKSA 720 (Revised) The Auditor's Responsibilities Relating to Other Information, other information is financial or non-financial information (other than financial statements and the auditor's report thereon) included in an entity's annual report, therefore, Fortune's 2019 director's report is considered as other information.

In accordance with HKSA 720 (Revised), the auditor of Fortune shall consider whether there is a material inconsistency between (i) the other information and the financial statements; and (ii) the other information and the auditor's knowledge obtained in the audit and respond and report appropriately under HKSA 720 (Revised).

The directors' report indicates that both the sales growth of 15% and that Fortune recruits all full-time workers with fixed salaries are not in line with the financial statements and the auditor's knowledge.

The auditor shall discuss the matter with the management and, if necessary, perform other procedures to conclude whether:

- a material misstatement of the other information exists;
- a material misstatement of the financial statements exists; or
- the auditor's understanding of the entity and its environment needs to be updated.

If revision to the financial statements are needed, the auditor should consider performing further procedures in order to conclude the audit opinion.

If revision to other information is needed, the auditor shall ask the management to correct other information. If the management refuses, communicate the matter with those charged with governance. If they still refuse to correct, consider the implication for the auditor's report or withdraw from the engagement.

In the auditor's report, the auditor should include a separate "Other Information" section after obtaining the directors' report, as the other information as of the date of the auditor's report. If there are no material misstatements in the other information, the auditors should state so in that section. If there are material misstatements in the other information, the auditors should state those misstatements in the other information in their audit report.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 5

Since Michael and Charles are good friends, a familiarity threat may exist. Independence may be jeopardized if Chan & Co and/or Charles are too closely connected or too familiar with, or sympathetic to, Company X. Professional scepticism may be severely impaired. Since the proposing services included an audit service, Chan & Co can still participate in the proposal, but the proposal should not be led by Charles Chan but by other partners of Chan & Co. Charles Chan should also not be assigned as a member of the audit engagement team.

Chan & Co can propose for IPO services to advise Company X on corporate restructuring, the audit service and the tax service to prepare the annual tax return after considering if Chan & Co has sufficient competence and capabilities on providing the services.

Generally, preparing the annual tax return is not seen as a threat to independence as long as the management takes responsibility for the return, including any significant judgement made. Chan & Co may consider having separate teams to provide the audit, advisory and tax services to Company X as to avoid possible self-review threat created in the future. Chan & Co should also make it clear in their service proposal to Company X that a personnel from the company must be assigned to take all responsibilities and make judgement on behalf of the management for the advisory and tax services.

An advocacy or self-review threat may be created if Chan & Co takes up the audit service and represents Company X in the court for the resolution of the tax matter of Company X against the Inland Revenue Department of Hong Kong. It is because if the amount involved is material to the financial statements on which Chan & Co will express an opinion, the advocacy threat created would be so significant that no safeguards could eliminate or reduce the threat to an acceptable level. Therefore, Chan & Co should either ask for further information relating to the tax dispute for careful assessment before they agree to propose for such service, or decline to propose for such service.

Answer 6(a)

The relevant audit procedures should include the following:

- obtain an understanding of the management procedures that have been established to ensure the subsequent events are identified;
- evaluate and validate if the related management procedures exist and are operating effectively;
- read the minutes of the board of director meetings of Sweet Limited that have been held after the year end date till the date of the auditor's report;

- enquire about matters discussed at the board of director meetings for which minutes are yet available;
- enquire and review any significant contracts signed after the year end date;
- perform procedures which usually form part of the verification of year-end account balances. These procedures include cut-off, search for unrecorded liabilities and valuation tests of various balances and related transactions;
- review the latest available management accounts, budgets, cash flow forecasts and other management reports of Sweet Limited;
- conduct an internet search to see if there are any recent public news of Sweet Limited after the year end date; and
- obtain written representation letter from Sweet Limited management that all events occurring subsequent to the date of the financial statements which need adjustments or disclosures have been adjusted or disclosed.

Answer 6(b)(i)

The relevant follow up audit procedures should include the following:

Inventory provision

- analyse if the management's basis is justifiable that no inventory provision was made against those chocolate inventories which were sold below cost after year end. If the management's basis is not justifiable, proceed to other follow up audit procedures;
- obtain the inventory ledger from the management and quantify the related inventory amount and provision required based on the actual sales price after year end;
- assess and evaluate if the inventory provision required exceeds the de minimis level or the overall materiality;
- if the inventory provision required exceeds the overall materiality, discuss with the management to put through the inventory provision in the financial statements;
- if the inventory provision required is below the overall materiality but exceeds the de minimis level, discuss with the management to include the adjustment in the summary of uncorrected misstatements for overall consideration; and
- if the management refuses to (i) adjust the inventory provision required with amount exceeding the overall materiality in the financial statements or (ii) include the inventory provision required with amount below the overall materiality but exceeding the de minimis level into the summary of uncorrected misstatements for overall consideration, discuss the matter with those charged with governance.

Answer 6(b)(ii)

Acquisition of 51% equity interest of Choco Limited

- the acquisition of 51% equity interest of Choco Limited by Sweet Limited is a significant subsequent event given Choco Limited is of similar size of Sweet Limited. The auditor should check whether Sweet Limited has disclosed the acquisition in the financial statements with sufficient details as the subsequent event; and
- given the management stated that there was no significant subsequent event after year end, which was inconsistent with the audit findings, the auditor should not rely on the management's established procedures on identifying subsequent event. The auditor should reconsider if they have performed sufficient audit procedures on identifying the subsequent event.

Answer 7(a)

Wong & Co should consider the following procedures before they determine the audit approach on the IT system audit:

- obtain an understanding of the organisation and the IT environment of Company A. Wong & Co should obtain an understanding of Company A's IT general controls, such as access to programme and data, programme changes, computer operations and programme development;
- obtain an understanding of Company A's business processes and how business data are generated and processed in the system;
- identify the relevant key IT general and application controls;
- evaluate the design and operating effectiveness of the IT general and application controls, and identify risk that may result in material misstatements;
- evaluate Company A's response to those risks identified. Company A's response to these business risks identified may impact the assessed level of audit risk; and
- assess the risk of material misstatements and determine specific audit procedures that are necessary based on that risk assessment.

Answer 7(b)(i)

The risk of material misstatements in terms of IT risk is high. It is because of the following:

Though there were no significant IT control deficiencies identified by the predecessor auditor in the past, Company A, instead of using the external service provider to maintain Fast-end, it starts to build its own IT team and maintains Fast-end in-house. There may be risk that Fast-end may not be flawlessly supported and maintained given the change.

The IT team was newly set up during the year, though they recruited a programmer from the service provider; given the less structured IT control environment, where the IT controls are less formal and loosely documented, there may be risk of misappropriate access to programme and data, programme changes, computer operations and programme development.

There were minor programme changes made by the programmer to Fast-end during the year. Given the lean structure of the IT team, independent review was unlikely to be performed whether the programme was changed in accordance with the business needs and the changes were properly implemented.

The effectiveness of IT controls depends largely on segregation of duties. While all IT staff have full access to Fast-end, the risk that the programme and data of Fast-end being manipulated increases.

The data were stored in the server of the external service provider in the past. When Company A brings their IT in-house, they need to transfer these data to their own server. Such data transfer could create additional IT risk if the data transfer plan was either not properly set up or effectively implemented, risk of material misstatement to the financial statements could result.

Answer 7(b)(ii)

In response to the risk of material misstatements identified in Answer 7(b)(i), the relevant audit procedures should include the following:

- obtain further understanding from Company A the transition arrangement in detail relating to the change of Fast-end maintenance from external to in-house;
- evaluate and identify if there are key controls in place over the transition arrangement;
- further understand the reporting structure of the IT team and the assigned responsibilities of each team member;
- evaluate the competence and capabilities of the IT team;
- obtain from Company A if there is a log tracking all programme and data changes made to Fast-end;

- review the log in detail to assess whether there is any irregularity in terms of programme and data changes in Fast-end;
- understand, evaluate and identify if there are key general IT controls in place, of which are sufficiently documented, for validation;
- understand from the management data migration plan in detail. For example, when and how these data are migrated?
- test the data migration on the date of data transfer whether all the data were correctly moved from the server of the external service provider to Company A's server to ensure accuracy and completeness of the data transfer;
- evaluate the audit approach to determine whether it may be more cost effective to concentrate audit work by using substantive procedures than analysing the general controls and application controls in details; and
- if the IT general controls of Company A are difficult to be proven as effective, evaluate whether to use more extensive physical examination and confirmation of assets, more test of transactions and larger sample sizes in the audit.

Answer 8(a)

To understand the key assumptions and estimates used in the discounted cash flow calculation, the following questions should be asked to the management of Sky Limited:

- What are the existing products and services of Sky Limited and the related actual revenue in 2018? Are there any products and services under development?
- What are the business models of Sky Limited? What is the management's assessment on whether the business models is sustainable?
- What is the key business driver for the strong revenue growth in 2019 compared to the actual revenue of 2018? What is the management's assessment on whether the revenue growth is sustainable?
- What is the revenue growth rate of the industry? How is the comparison between the estimated revenue growth of Sky Limited and the industry's?
- What is the basis of management forecast on the strong growth of revenue for 2020 and 2021?
- What are the key cost components of Sky Limited?

- How much are the estimated research and development costs and the expected capital expenditures in the coming years? What is the management's basis that these research and development costs and capital expenditure are sufficient to support Sky Limited's fast growth in the coming years?
- What is the management basis on estimating Sky Limited will turn around from loss making to profit making in 2019?
- Is a net profit margin of 27% in 2019 and 50% in 2020 onwards reasonable for a technology company?
- Is an appropriate tax rate applied in the forecast?
- Is any approved tax loss carry forward considered in the cash flow projection?
- What is contributing to the adjusting difference between the net loss/profit and the net cash inflow?
- Is 3% terminal growth rate reasonable? What is the management's basis on estimating a 3% terminal growth rate?
- Is the 10% discount rate reasonable given Sky Limited is a start-up and it is still loss-making in 2018? Does the management perform any benchmarking study?
- Is the discount rate applied a pre-tax discount rate or a post-tax discount rate?
- Is there any sensitivity analysis performed by the management focusing on those significant sensitive assumptions, such as revenue growth rate, net profit margin percentage, discount rate, etc?

Answer 8(b)

The relevant audit procedures should include the following:

- assess the objectivity, competence and capabilities of the independent valuer engaged by Universe Limited;
- consider if an in-house valuation expert should be involved in reviewing the valuation of Sky Limited;
- assess the appropriateness of the valuation methodology adopted in valuing the fair value of Sky Limited;
- understand and evaluate how the management of Universe Limited get comfort over the key assumptions and estimates provided by Sky Limited;

- validate if the management of Universe Limited discuss and challenge the key assumptions and estimates provided by Sky Limited for the cash flow projection;
- meet with the management of Sky Limited to discuss and understand the key assumptions and estimates used in the cash flow forecast;
- inquired with Sky Limited management if there are new rounds of financial funding obtained by Sky Limited after June 2018 that may be a good reference for estimating the latest fair value of Sky Limited;
- perform an analytical review or audit procedures for the 2018 actual results of Sky Limited if feasible;
- compare the 2018 actual results of Sky Limited to its budget to assess the reliability of management's estimates;
- compare the key assumptions and estimates used by the management with public available industry and market data. For example, compare the net profit margin percentage and discount rate applied with companies that engage in similar industry and of similar size;
- as Universe Limited only holds 15% equity interest in Sky Limited, consider whether the management has applied appropriate minority shareholding discount in the valuation;
- test the mathematical accuracy of the discounted cash flow calculation; and
- test if the management of Universe Limited has applied the appropriate percentage of shareholding in calculating their share of the fair value of Sky Limited.

* * * **END OF EXAMINATION PAPER** * * *